

towards responsible lending and to integrate environmental and social risks as part of its overall credit risk assessment framework,” Niranjan Banodkar, Group CFO of YES Bank, tells *BT*.

Other banks are also taking similar measures. Federal Bank and Suryoday Small Finance Bank have a policy commitment to restrict or end coal financing. Kotak Mahindra Bank and RBL Bank have begun institutionalising tools and assessment frameworks for climate risk. The majority of the banks have begun lending to renewable energy projects; they have also introduced schemes for electric vehicles, rooftop solar installations, and battery storage.

However, for many regulated entities, data generation remains the biggest challenge.

CRISIL’s Patel says financial implications arising out of climate risk can be calculated through stress tests based on scenarios designed by the Network for Greening the Financial System—a network of central banks and financial supervisors—and formulating strategies to minimise the impact.

“Further, regulated entities have to analyse their exposure to environmentally sensitive sectors from a transition risk perspective. While banks have started to act on some of these aspects, disclosures related to climate risk—including around financed emissions—need to evolve,” she adds.

Several financial consulting firms are working with banks to help build capacity by conducting climate risk assessment training.

Financing holds the key to transitioning to green sectors, and banks can play a pivotal role in mobilising resources for green projects.

One method that has gained

PARAMETERS USED TO ASSESS BANKS

- Banks have made the highest progress on two parameters, climate risk management and green finance
- But 94% don’t have a policy to exclude financing coal projects

PARAMETERS	NOT STARTED (%)	BEGINNER (%)	ADVANCED (%)
Coal Policy	94	0	6
Verified Emissions	76	6	18
Scope 1, 2, and 3	70	6	24
Financed Emissions	97	0	3
Climate Scenario Analysis	79	21	0
Climate Risk Management	62	9	29
Green Finance	44	27	29
International Associations	76	0	24
Exclusion Policy	53	26	21
Net-zero Target	88	12	0

SOURCE CLIMATE RISK HORIZON

traction is ‘green deposit’—an interest-bearing deposit, for a fixed period, the proceeds of which are earmarked for green financing.

The RBI issued a Framework for Acceptance of Green Deposits that came into effect on June 1, 2023. It aims to direct the flow of funds to sustainable projects and initiatives, protect the interests of depositors, and address greenwashing concerns.

Most scheduled banks offer this facility now.

Sagar Asapur, Head of Sustainable Finance at CRH India, says the RBI’s framework offers banks the chance to contribute significantly to climate risk mitigation and adaptation projects. However, the scheme also has significant challenges and shortcomings that need to be addressed.

First, the absence of a defini-

tive taxonomy is leading to ambiguity in determining what a “green investment” is.

“This will inevitably lead to greenwashing and be counterproductive. Second, strong transparency and disclosure requirements for banks around green deposits are needed to enable independent public verification of all investments. Some banks offering green deposit schemes have not provided necessary disclosures, making it challenging for depositors to assess the true environmental impact of their investments,” Asapur tells *BT*.

Clearly, incorporating climate risk assessment into key financial decisions is going to be a long journey for banks. It is one they need to accelerate. **BT**

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